When a household deals with a financial firm such as a bank, the household does not have a reasonable ability to understand the soundness of a bank. Financial firms are often unfair in their dealings with households. [3] When a bank does fail, the household does not have a reasonable ability to participate in the conventional bankruptcy process. If we insist upon *caveat emptor*, i.e., 'buyer beware', in the relationship between unsophisticated households and financial firms, this would greatly narrow household participation in finance. Government intervention is required from the viewpoint of consumer protection to address these three problems. This is done through three paths:

1. A financial regulator looks at the relationship between financial firms and consumers, and coerces financial firms to engage in greater fair play. This includes truthful disclosure, fair contract terms, etc.
2. A financial regulator engages in 'micro-prudential regulation', where financial firms that make promises (such as banks and insurance companies) are coerced into low levels of risk. This caps their probability of failure and ensures that the promises that they have made are upheld with a high probability. This is analogous to drug safety regulation which ensures that with a high probability, the drug purchased by a consumer in a shop is efficacious.
3. Sometimes, financial firms have made intense promises to households and they go bankrupt. At this time, a 'resolution corporation' is required, which is a specialized bankruptcy process. This pays out some money to households in the form of deposit insurance and runs a swift resolution process which minimizes the negative externalities upon the economy as a consequence of firm failure.